Retirement Portfolios is also an excellent resource written for financial professionals about this school of thought.

How are goals prioritized?

Advocates of the safety-first approach view prioritization of retirement goals as an essential component of developing a good retirement income strategy. The investment strategy aims to match the risk characteristics of assets and goals, so prioritization is a must.

Prioritizing goals has its academic origins in the idea of utility maximization. As people spend more, they experience diminishing marginal value with each additional dollar spent. The spending required to satisfy basic needs provides much more value and satisfaction to someone than the additional spending on luxuries after basic needs are met. Retirees should plan to smooth spending over time to avoid overspending on luxuries in one year and being unable to afford essentials later.

In developing Modern Retirement Theory, financial planner Jason Branning and academic M. Ray Grubbs created a funding priority for retiree liabilities. Essential needs are the top priority, then a contingency fund, funds for discretionary expenses, and a legacy fund. They illustrate these funding priorities with a pyramid. Building a retirement strategy requires working from the bottom to properly fund each goal before moving up to the next. There is no consideration of discretionary expenses or providing a legacy until a secure funding source for essential needs and contingencies is in place.

What is the investment approach?

Traditionally, investing in the accumulation phase has built on the tools of modern portfolio theory (MPT) and portfolio diversification to find a suitable balance between investment returns and the volatility of those returns. Investors seek strategies that will support the highest expected wealth, subject to the investor's tolerance and capacity to endure downward fluctuations in the portfolio value. But this was never the complete story. In 1991, Nobel laureate and MPT founder Harry Markowitz wrote in the first issue of Financial Services Review about how MPT was never meant to